Basic Finance Cheat Sheet

1. Key Financial Terms

Balance Sheet:

A financial statement showing a company's assets, liabilities, and equity at a specific point in time.
Formula: **Assets = Liabilities + Equity**

Income Statement:

Also called a Profit and Loss (P&L) statement, it shows a company's revenues, expenses, and profits over a period.
Key Equation: **Net Income = Revenue - Expenses**

Cash Flow Statement:

Tracks the flow of cash in and out of a business, divided into operating, investing, and financing activities.

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2. Must-Know Finance Concepts

Time Value of Money (TVM):

Concept: Money today is worth more than the same amount in the future due to earning potential.
Formula: **FV = PV × (1 + r)^n**

- **FV:** Future Value | **PV:** Present Value | **r:** Interest Rate | **n:** Number of Periods

Risk and Return:

Concept: Higher potential returns are typically associated with higher risks.
Key Ratios: Return on Investment (ROI), Sharpe Ratio (for risk-adjusted returns).

Financial Ratios (Key Tools for Business Analysis):

- **Liquidity Ratios:** Measure a company's ability to meet short-term obligations.
    - *Example:* **Current Ratio = Current Assets / Current Liabilities**
- **Profitability Ratios:** Evaluate a company's ability to generate profit.
    - *Example:* **Net Profit Margin = (Net Income / Revenue) × 100**
- **Leverage Ratios:** Assess a company's use of debt.
    - *Example:* **Debt-to-Equity Ratio = Total Debt / Total Equity**

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3. Capital Budgeting Techniques

Net Present Value (NPV):

Measures the profitability of an investment by comparing the present value of cash inflows with cash outflows.
Formula: **NPV = Σ [(Cash Inflow) / (1 + r)^t] - Initial Investment**

- *If NPV > 0, the investment is considered profitable.*

Internal Rate of Return (IRR):

The discount rate that makes NPV = 0. It indicates the expected return of an investment.

- *Decision Rule:* Accept the project if IRR > Cost of Capital.

Payback Period:

Time it takes to recover the initial investment.

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4. Common Sources of Business Finance

- **Debt Financing:** Borrowing money (e.g., loans, bonds).
    - *Pros:* Tax-deductible interest, no loss of ownership.
    - *Cons:* Fixed repayment obligations.
- **Equity Financing:** Raising money by selling shares of the company.
    - *Pros:* No repayment obligations.
    - *Cons:* Dilution of ownership.
- **Convertible Securities:** Bonds or stocks that can convert into equity at a later date.

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5. Key Formulas at a Glance

1. **Current Ratio**

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

2. **Return on Equity (ROE):**

$$\text{ROE} = \frac{\text{Net Income}}{\text{Shareholder's Equity}}$$

3. **Earnings Per Share (EPS):**

$$\text{EPS} = \frac{\text{Net Income} - \text{Preferred Dividends}}{\text{Number of Outstanding Shares}}$$

4. **Future Value (FV) of Money:**

$$FV = PV \times (1 + r)^n$$

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6. Quick Tips for Financial Decision-Making

- **When Evaluating Investments:** Use NPV, IRR, and Payback Period for better insights.
- **For Short-Term Liquidity:** Track current and quick ratios to ensure cash availability.
- **Remember:** Always balance risk and return when making business decisions.
